

Tokyo Electron

8035.T 8035 JP / EQUITY: JAPAN SEMICONDUCTOR PRODUCTION EQUIPMENT

We raise our earnings outlook, keep our Buy rating

Stock could be favored for its relative capacity headroom when investors come to expect further market expansion

We raise our earnings forecasts on improved market outlook, reiterate our Buy rating

We raise our operating profit forecasts for Tokyo Electron for 27/3 onwards, mainly to reflect a slight upward revision to our outlook for the WFE market versus our assumptions as of July. We reiterate our Buy rating because we still think that Tokyo Electron will be able to generate sales growth in excess of the WFE market average owing to its strong presence in equipment likely to see much higher market growth than the overall market average, such as wafer bonders and probers, as well as growth in its share of the advanced NAND deposition and etching markets. We raise our 29/3 EPS forecast, but trim our target price to reflect the decline in the benchmark Russell/Nomura Large Cap (ex financials) average P/E from around 16.5x to around 15x.

Focus for H1 results will be on extent to which gross margin will improve

The company appears likely to announce full-year guidance in 27/3 Q2, and some observers note the guidance risks, but management commented at the Q1 briefing that ¥1trn in operating profits was in sight, and we do not expect much upside or downside relative to stock market expectations. It will be interesting to see to what extent H2 guidance calls for the gross margin to improve h-h, including from price hikes of a few percent to pass on cost increases. A significant improvement would likely heighten expectations for margin improvement, including from further price hikes in 28/3 and beyond.

Company seems to have relatively ample spare production capacity

Tokyo Electron's policy has been to increase capacity ahead of other front-end processing equipment companies, and we get the impression that it has slightly more spare production capacity than rivals. The company's Miyagi Technology Innovation Center is scheduled for completion in summer 2027, and we think it will have enough capacity to address a WFE market of \$200bn (we forecast just over \$190bn in 2027, based on \$125bn in 2025), without any particular additional measures. Once the Technology Innovation Center reaches full operation, production capacity should expand to 3x current levels. While we will need to watch for any bottlenecks at suppliers, we think investors could take a more favorable view of the company in view of its relatively high capacity to handle potential upside versus market forecasts.

Rating

Remains

Buy

Target price

Reduced from 80,000

JPY 77,000

Closing price

17 August 2026

JPY 60,090

Implied upside

+28.1%

Relative performance chart



Source: LSEG, Nomura

Performance / Stock price data

(%)	1M	3M	12M
Absolute returns	-7.7	19.5	179.4
Relative to Russell/Nomura Large Cap	-15.0	9.9	140.0
Market capitalization (¥bn)	28,124.1		
52-week low stock price (¥)	19,870		
52-week high stock price (¥)	81,260		
Shares outstanding (mn)	468.0		
Daily turnover (3-M avg) (¥mn)	276,494.1		

Note: Market capitalization and shares outstanding in this table include treasury stock.
Source: LSEG, Nomura

Earnings table

	26/3	27/3E			28/3E		29/3E	
	Actual	Old	New	Co's	Old	New	Old	New
Sales (¥mn)	2,443,533	3,281,400	3,380,800	-	4,038,600	4,187,500	4,893,500	5,087,800
Operating profits (¥mn)	624,936	957,500	1,005,200	-	1,327,100	1,400,300	1,752,400	1,849,400
% y-y	-10.4	53.2	60.8	-	38.6	39.3	32.0	32.1
EPS (¥)	1,254.6	1,614.0	1,693.7	-	2,244.1	2,367.3	2,974.7	3,138.8
P/E (x)	47.9	37.2	35.5	-	26.8	25.4	20.2	19.1
EV/EBITDA (x)	37.8	25.4	24.2	-	18.6	17.7	14.2	13.5
P/B (x)	13.4	11.9	11.3	-	9.9	9.7	8.1	7.9
Dividend yield (%)	1.0	1.3	1.4	-	1.9	2.0	2.5	2.6
ROE (%)	29.6	33.7	34.4	-	40.4	41.1	44.1	45.5
Net debt equity ratio (x)	Net Cash	Net Cash	Net Cash	-	Net Cash	Net Cash	Net Cash	Net Cash

Source: Company data, Nomura estimates

Research Analysts

Japan semiconductor production equipment

Atsushi Yoshioka - NSC

atsushi.yoshioka@nomura.com

+81 3 6703 1176

Key data on Tokyo Electron

Valuation and ratio analysis	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP
	cons.	cons.	cons.	cons.	cons.
	25/3	26/3	27/3E	28/3E	29/3E
EPS (¥)	1,182.4	1,254.6	1,693.7	2,367.3	3,138.8
BPS (¥)	4,016.3	4,498.9	5,340.3	6,171.3	7,641.0
DPS (¥)	592.0	628.0	847.0	1,184.0	1,569.0
Dividend payout ratio (%)	50.1	50.1	50.0	50.0	50.0
ROE (%)	30.3	29.6	34.4	41.1	45.5
Net margin (%)	22.4	23.5	22.7	25.5	27.7
Asset turnover rate (x)	1.0	0.9	1.1	1.2	1.2
Equity ratio (%)	70.1	71.5	72.2	72.3	73.7
Shares outstanding (mn)	458.1	454.8	452.6	450.4	448.1

Income statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Sales	2,431,568	2,443,533	3,380,800	4,187,500	5,087,800
Operating profits	697,319	624,936	1,005,200	1,400,300	1,849,400
EBITDA	759,584	706,281	1,105,400	1,510,300	1,968,400
Recurring profits	707,727	630,338	1,011,200	1,406,300	1,855,400
Pretax profits	706,114	748,180	1,011,200	1,406,300	1,855,400
Profits attributable to minority interest	0	0	0	0	0
Profits attributable to owners of parent	544,133	574,454	768,500	1,068,800	1,410,100
(Equity in net income of affiliates)	3,001	2,691	3,000	0	0

Balance sheet

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Current assets	1,800,756	1,835,466	2,231,600	2,640,900	3,359,600
Liquidity on hand	496,238	506,250	427,200	427,500	689,700
Operating receivables	485,626	525,898	727,600	901,200	1,095,000
Inventories	749,124	713,116	986,600	1,222,000	1,484,700
Long-term assets	825,225	1,025,531	1,115,300	1,205,300	1,286,300
Total assets	2,625,981	2,860,997	3,346,900	3,846,200	4,645,900
Operating payables (current)	108,036	127,844	176,900	219,100	266,200
Interest-bearing debt	0	0	0	0	0
Total liabilities etc.	770,771	791,001	906,100	1,043,100	1,198,000
Net assets	1,855,209	2,069,996	2,440,800	2,803,100	3,447,900
Shareholders' equity attributable to parent company	1,839,929	2,046,298	2,417,100	2,779,400	3,424,200

Cash flow statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Operating cash flow	582,174	539,732	508,600	906,800	1,227,500
Profits attributable to owners of parent	544,133	574,454	768,500	1,068,800	1,410,100
Depreciation	62,148	80,982	100,000	110,000	119,000
Amortization of goodwill	117	363	200	0	0
Change in working capital	-64,694	15,544	-426,130	-366,800	-409,400
Investment cash flow	-169,609	-96,492	-190,000	-200,000	-200,000
Capex	-162,100	-216,000	-190,000	-200,000	-200,000
Free cash flow	412,565	443,240	318,600	706,800	1,027,500
Financial cash flow	-388,836	-425,359	-397,700	-706,500	-765,300
Change in interest-bearing debt (IBD)	0	0	0	0	0
Dividends	-236,276	-271,618	-247,700	-556,500	-615,300
Cash & cash equivalents	485,072	505,414	426,314	426,614	688,814

Forex assumptions, sensitivity

	Forex assumptions (¥)		Forex sensitivity (¥mn)	
	27/3 Co's E	27/3E	28/3E	27/3E
USD/JPY	—	159.84	160.00	0.0
EUR/JPY	—	185.08	185.00	—

Note: Forex sensitivity indicates the impact on our 27/3 forecast for operating profits from each ¥1 change in our forex assumptions in the direction of a weaker yen.

Source: Company data, Nomura estimates except where noted otherwise

Company profile

Tokyo Electron was founded in Tokyo in 1963 as a trading company specializing in technology, now produces semiconductor and FPD production equipment. It produces a wide range of equipment from front-end processing equipment such as coater/developers, etching systems, deposition systems, and cleaning systems, through to probers and testers, and was the world's fourth largest SPE producer in terms of sales in 2025. It is highly competitive and is estimated to have roughly 90% of the global market for coater/developers and roughly 23% of the global market for etching systems despite fierce competition.

Valuation Methodology

We obtain our target price of ¥77,000 by multiplying our 29/3 EPS forecast of ¥3,138.8 by a fair-value P/E of 24–25x. Our overarching fair-value P/E for the Japanese SPE sector companies under our coverage is 20–21x, which references the Russell/Nomura Large Cap Index (ex financials) average P/E of roughly 15x on 29/3 forecasts as a benchmark, along with a relative P/E of 1.3–1.4x, representing the maximum relative P/E at which sector shares traded during the recovery phase of the previous SPE cycle. We forecast an operating profit CAGR for Tokyo Electron of just under 12% for the two fiscal years from the 29/3 baseline, slightly above the sector average of around 11.5%, and we base our fair-value P/E on this.

Risks that may impede the achievement of the target price

Industrywide factors that could cause the share price to fail to achieve our target price include: (1) a delayed earnings recovery due to a longer-than-expected downward phase for the SPE market as a result of prolonged inventory corrections at customers; (2) weaker growth for the SPE market due to downward revisions to capex budgets at customers; and (3) weaker growth for the SPE market due to fresh restrictions on exports crimping SPE investment in China. Other risks include regulations and moves to create a home-grown semiconductor industry in China, and the impact of data leaks involving a former employee.

Other notes

Our forecasts assume annual share buybacks of ¥150bn from 27/3 onwards, based on past performance and cash flow.

ESG

Aiming for sustainable boost to corporate value from sustainability initiatives. Sees opportunity to provide greener technologies, products, and services, and has long-term environmental target of carbon neutrality at Scope 1+2+3 by 2040. Governance initiatives include introduction of corporate officer system.

Detailed earnings forecasts

Fig. 1: Consolidated segment information

Consolidated segment information		23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(\$mn, except where noted)											
Sales of new equipment at SPE segment		1,692,700	1,372,700	1,861,100	1,775,400	2,568,300	2,500,200	3,218,500	3,107,200	3,949,800	3,799,800
	% y-y	12.9	-18.9	35.6	-4.6	44.7	40.8	25.3	24.3	22.7	22.3
DRAM		236,978	370,629	576,941	550,374	890,600	863,100	1,158,900	1,114,800	1,481,800	1,425,800
	% y-y	-39.2	56.4	55.7	-4.6	61.8	56.8	30.1	29.2	27.9	27.9
Non-volatile memory		338,540	96,089	130,277	177,540	242,600	223,000	337,500	309,600	513,400	472,400
	% y-y	7.5	-71.6	35.6	36.3	36.6	25.6	39.1	38.8	52.1	52.6
Logic Foundry+Logic&Others		1,117,182	905,982	1,153,882	1,047,486	1,435,100	1,414,100	1,722,100	1,682,800	1,954,600	1,901,600
	% y-y	40.6	-18.9	27.4	-9.2	37.0	35.0	20.0	19.0	13.5	13.0

Source: Company data, Nomura estimates

Fig. 2: Consolidated segment information (quarterly)

Consolidated segment information (quarterly)		25/3 Q1	Q2	Q3	Q4	26/3 Q1	Q2	Q3	Q4	27/3 Q1	Q2E	Q3E	Q4E	Co's 27/3 Q2E
(\$mn, except where noted)														
Sales		555,071	566,555	654,540	655,402	549,586	630,082	552,047	711,818	732,388	891,900	852,300	904,212	887,612
	% y-y	41.7	32.4	41.2	19.8	-1.0	11.2	-15.7	8.6	33.3	41.6	54.4	27.0	40.9
Pretax profits		167,248	153,607	200,106	185,153	151,966	161,020	153,322	281,872	215,495	266,100	262,200	267,405	248,505
	% y-y	101.5	56.5	48.8	17.3	-9.1	4.8	-23.4	52.2	41.8	65.3	71.0	-5.1	54.3
	Margin (%)	30.1	27.1	30.6	28.3	27.7	25.6	27.8	39.6	29.4	29.8	30.8	29.6	28.0
Sales of new equipment at SPE segment		431,500	415,000	510,600	503,900	395,000	455,000	385,100	540,100	531,300	708,800	649,200	679,000	708,700
	% y-y	50.3	31.6	44.6	20.8	-8.5	9.6	-24.6	7.2	34.5	55.8	68.6	25.7	55.8
DRAM		112,190	107,900	178,710	186,443	102,700	122,850	138,636	183,634	170,000	226,800	237,700	256,100	226,800
	% y-y	144.2	22.2	63.3	46.9	-8.5	13.9	-22.4	-1.5	65.5	84.6	71.5	39.5	84.6
Non-volatile memory		8,630	12,450	40,848	60,468	39,500	63,700	30,808	43,208	58,400	78,000	52,700	53,500	78,000
	% y-y	-78.5	-21.1	189.3	132.5	357.7	411.6	-24.6	-28.5	47.8	22.4	71.1	23.8	22.4
Logic Foundry+Logic&Others		310,680	294,650	291,042	256,989	252,800	268,450	215,656	313,258	302,800	404,000	358,800	369,500	404,000
	% y-y	54.6	39.4	26.8	-2.7	-18.6	-8.9	-25.9	21.9	19.8	50.5	66.4	18.0	50.5

Source: Company data, Nomura estimates

Fig. 3: Consolidated income statement

Consolidated income statement		23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(\$mn, except where noted)											
Sales		2,209,025	1,830,527	2,431,568	2,443,533	3,380,800	3,281,400	4,187,500	4,038,600	5,087,800	4,893,500
	% y-y	10.2	-17.1	32.8	0.5	38.4	34.3	23.9	23.1	21.5	21.2
Gross profits		984,408	830,269	1,146,287	1,107,880	1,585,200	1,533,400	2,047,100	1,968,400	2,566,000	2,462,400
	% y-y	8.0	-15.7	38.1	-3.4	43.1	38.4	29.1	28.4	25.3	25.1
	Margin (%)	44.6	45.4	47.1	45.3	46.9	46.7	48.9	48.7	50.4	50.3
SG&A expenses		366,684	374,006	448,967	482,944	580,000	575,900	646,800	641,300	716,600	710,000
	% y-y	17.3	2.0	20.0	7.6	20.1	19.2	11.5	11.4	10.8	10.7
	As % of sales	16.6	20.4	18.5	19.8	17.2	17.6	15.4	15.9	14.1	14.5
Operating profits		617,723	456,263	697,319	624,936	1,005,200	957,500	1,400,300	1,327,100	1,849,400	1,752,400
	% y-y	3.1	-26.1	52.8	-10.4	60.8	53.2	39.3	38.6	32.1	32.0
	Margin (%)	28.0	24.9	28.7	25.6	29.7	29.2	33.4	32.9	36.3	35.8
Recurring profits		625,185	463,185	707,727	630,338	1,011,200	963,500	1,406,300	1,333,100	1,855,400	1,758,400
	% y-y	3.9	-25.9	52.8	-10.9	60.4	52.9	39.1	38.4	31.9	31.9
	Margin (%)	28.3	25.3	29.1	25.8	29.9	29.4	33.6	33.0	36.5	35.9
Pretax profits		624,856	473,439	706,114	748,180	1,011,200	963,500	1,406,300	1,333,100	1,855,400	1,758,400
	% y-y	4.7	-24.2	49.1	6.0	35.2	28.8	39.1	38.4	31.9	31.9
	Margin (%)	28.3	25.9	29.0	30.6	29.9	29.4	33.6	33.0	36.5	35.9
Profits attributable to owners of parent		471,584	363,963	544,133	574,454	768,500	732,300	1,068,800	1,013,200	1,410,100	1,336,400
	% y-y	7.9	-22.8	49.5	5.6	33.8	27.5	39.1	38.4	31.9	31.9
	Margin (%)	21.3	19.9	22.4	23.5	22.7	22.3	25.5	25.1	27.7	27.3
Dividend per share (¥)		570	393	592	628	847	807	1,184	1,122	1,569	1,487
H1-end (¥)		286	148	265	264	181	373	565	518	749	687
FY-end (¥)		285	245	327	364	666	434	619	604	820	800
Payout ratio (%)		56.6	50.1	50.1	50.1	50.0	50.0	50.0	50.0	50.0	50.0

Source: Company data, Nomura estimates

Fig. 4: Consolidated income statement (quarterly)

Consolidated income statement	25/3				26/3				27/3				Co's 27/3
(¥mn, except where noted)	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E	Q2E
Sales	555,071	566,555	654,540	655,402	549,586	630,082	552,047	711,818	732,388	891,900	852,300	904,212	887,612
% y-y	41.7	32.4	41.2	19.8	-1.0	11.2	-15.7	8.6	33.3	41.6	54.4	27.0	40.9
Operating profits	165,733	148,171	199,617	183,798	144,694	158,459	116,140	205,643	211,407	264,600	260,700	268,493	246,593
% y-y	101.1	54.1	50.7	26.6	-12.7	6.9	-41.8	11.9	46.1	67.0	124.5	30.6	55.6
Margin (%)	29.9	26.2	30.5	28.0	26.3	25.1	21.0	28.9	28.9	29.7	30.6	29.7	27.8
Recurring profits	167,398	153,783	200,210	186,336	147,347	159,549	116,900	206,542	215,626	266,100	262,200	267,274	248,374
% y-y	101.6	56.5	48.7	26.6	-12.0	3.7	-41.6	10.8	46.3	66.8	124.3	29.4	55.7
Margin (%)	30.2	27.1	30.6	28.4	26.8	25.3	21.2	29.0	29.4	29.8	30.8	29.6	28.0
Pretax profits	167,248	153,607	200,106	185,153	151,966	161,020	153,322	281,872	215,495	266,100	262,200	267,405	248,505
% y-y	101.5	56.5	48.8	17.3	-9.1	4.8	-23.4	52.2	41.8	65.3	71.0	-5.1	54.3
Margin (%)	30.1	27.1	30.6	28.3	27.7	25.6	27.8	39.6	29.4	29.8	30.8	29.6	28.0
Profits attributable to owners of parent	126,189	117,714	157,264	142,966	117,801	123,825	118,538	214,290	164,341	202,200	199,300	202,659	184,659
% y-y	96.2	60.9	54.9	14.4	-6.6	5.2	-24.6	49.9	39.5	63.3	68.1	-5.4	49.1
Margin (%)	22.7	20.8	24.0	21.8	21.4	19.7	21.5	30.1	22.4	22.7	23.4	22.4	20.8

Source: Company data, Nomura estimates

Fig. 5: Consolidated balance sheet

Consolidated balance sheet	23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(¥mn, except where noted)										
Cash & equivalents	473,099	472,548	496,238	506,250	427,200	337,600	427,500	424,800	689,700	662,800
Accounts receivable	464,889	391,423	485,626	525,898	727,600	706,200	901,200	869,200	1,095,000	1,053,200
Inventory assets	652,207	762,956	749,124	713,116	986,600	957,600	1,222,000	1,178,600	1,484,700	1,428,100
PPE/intangible long-term assets	287,647	369,749	477,556	626,866	716,600	716,600	806,600	806,600	887,600	887,600
Other assets	433,752	459,786	417,437	488,867	488,900	488,900	488,900	488,900	488,900	488,900
Total assets	2,311,594	2,456,462	2,625,981	2,860,997	3,346,900	3,206,900	3,846,200	3,768,100	4,645,900	4,520,600
Accounts payable	116,317	92,359	108,036	127,844	176,900	171,700	219,100	211,300	266,200	256,000
Interest-bearing debt	0	0	0	0	0	0	0	0	0	0
Net interest-bearing debt	-473,099	-472,548	-496,238	-506,250	-427,200	-337,600	-427,500	-424,800	-689,700	-662,800
Other liabilities	595,752	603,923	662,735	663,157	729,200	717,700	824,000	806,400	931,800	908,500
Total liabilities	712,069	696,282	770,771	791,001	906,100	889,400	1,043,100	1,017,700	1,198,000	1,164,500
Owners' equity	1,587,595	1,746,834	1,839,929	2,046,298	2,417,100	2,293,800	2,779,400	2,726,700	3,424,200	3,332,400
Minority interests, etc	11,929	13,345	15,280	23,697	23,700	23,700	23,700	23,700	23,700	23,700
Total liabilities and net assets	2,311,594	2,456,462	2,625,981	2,860,997	3,346,900	3,206,900	3,846,200	3,768,100	4,645,900	4,520,600
Turnover (unit: number of months)										
Operating assets	7.0	9.4	7.9	8.5	8.0	8.1	7.8	7.9	7.6	7.6
Invested capital	7.8	9.7	8.1	8.8	7.7	7.5	7.2	7.4	7.5	7.6
Total assets	12.6	16.1	13.0	14.1	11.9	11.7	11.0	11.2	11.0	11.1
Cash & equivalents	2.6	3.1	2.4	2.5	1.5	1.2	1.2	1.3	1.6	1.6
Accounts receivable	2.5	2.6	2.4	2.6	2.6	2.6	2.6	2.6	2.6	2.6
Inventory assets	3.5	5.0	3.7	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Accounts payable	0.6	0.6	0.5	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Working capital	5.4	7.0	5.6	5.5	5.5	5.5	5.5	5.5	5.5	5.5
PPE/intangible long-term assets	1.6	2.4	2.4	3.1	2.5	2.6	2.3	2.4	2.1	2.2

Source: Company data, Nomura estimates

Fig. 6: Consolidated cash flow and key financial indicators

Consolidated cash flow	23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(¥mn)										
Profits attributable to owners of parent	471,584	363,963	544,133	574,454	768,500	732,300	1,068,800	1,013,200	1,410,100	1,336,400
Depreciation	42,927	52,339	62,148	80,982	100,000	100,000	110,000	110,000	119,000	119,000
Change in working capital	-213,900	-61,200	-64,700	15,500	-426,100	-380,900	-366,800	-344,400	-409,400	-388,800
Other	125,491	79,545	40,476	-131,567	66,000	54,500	94,800	88,700	107,800	102,100
Operating cash flow	426,270	434,720	582,174	539,732	508,600	506,100	906,800	867,500	1,227,500	1,168,700
L-T assets (PPE/intangible) acquisition	-74,400	-121,800	-162,100	-216,000	-190,000	-190,000	-200,000	-200,000	-200,000	-200,000
Other	32,644	-3,348	-7,509	119,508	0	0	0	0	0	0
Investment cash flow	-41,756	-125,148	-169,609	-96,492	-190,000	-190,000	-200,000	-200,000	-200,000	-200,000
Change in borrowings	0	0	0	0	0	0	0	0	0	0
Dividends paid	-252,988	-202,457	-236,276	-271,618	-247,700	-334,800	-556,500	-430,300	-615,300	-580,700
Share buybacks	-1,728	-120,028	-150,008	-150,010	-150,000	-150,000	-150,000	-150,000	-150,000	-150,000
Other	-1,818	-2,527	-2,552	-3,731	0	0	0	0	0	0
Financial cash flow	-256,534	-325,012	-388,836	-425,359	-397,700	-484,800	-706,500	-580,300	-765,300	-730,700
Consolidated key financial indicators										
(¥mn, except where noted)										
Free cash flow	384,514	309,572	412,565	443,240	318,600	316,100	706,800	667,500	1,027,500	968,700
EBITDA	660,818	508,675	759,584	706,281	1,105,400	1,057,700	1,510,300	1,437,100	1,968,400	1,871,400
Shares out (ex treasury stock, FY-end, mn)	468.4	463.0	458.1	454.8	452.6	452.6	450.4	450.4	448.1	448.1
Shares out (FY-avg, mn)	467.9	464.4	460.2	457.9	453.7	453.7	451.5	451.5	449.3	449.3
EPS (¥)	1,007.8	783.8	1,182.4	1,254.6	1,693.7	1,614.0	2,367.3	2,244.1	3,138.8	2,974.7
CFPS (¥)	1,099.9	896.6	1,317.7	1,432.2	1,914.6	1,834.8	2,610.9	2,487.8	3,403.7	3,239.6
BPS (¥)	3,390	3,773	4,016	4,499	5,340	5,068	6,171	6,054	7,641	7,436
ROE (%)	32.3	21.8	30.3	29.6	34.4	33.7	41.1	40.4	45.5	44.1
ROA (%)	29.7	19.4	27.8	23.0	32.6	31.8	39.1	38.2	43.7	42.4
Net D/E ratio (x)	-0.3	-0.3	-0.3	-0.2	0.0	0.0	0.0	0.0	0.0	0.0
Shareholders' equity to total assets (%)	68.7	71.1	70.1	71.5	72.2	71.5	72.3	72.4	73.7	73.7

Source: Company data, Nomura estimates

Appendix A-1

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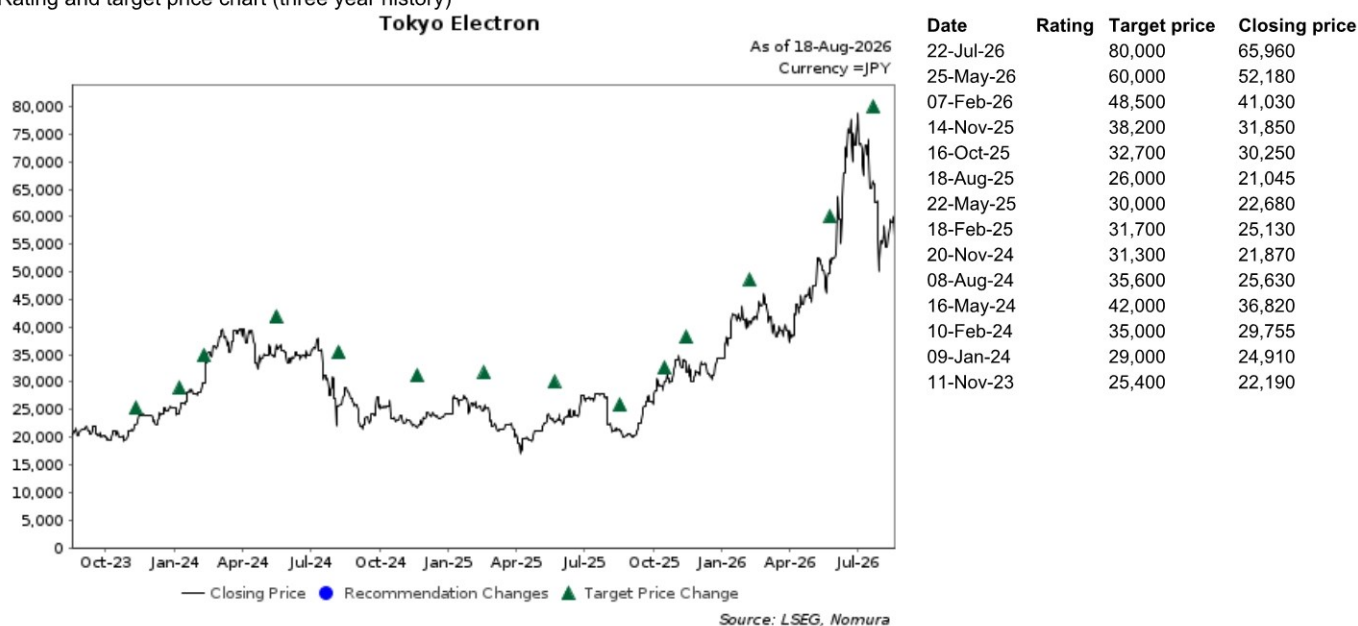
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tokyo Electron	8035 JP	JPY 60,090	17-Aug-2026	Buy	N/A	A1,A2,A4,A5,A6,A11

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Tokyo Electron (8035 JP)

JPY 60,090 (17-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥77,000 by multiplying our 29/3 EPS forecast of ¥3,138.8 by a fair-value P/E of 24–25x. Our overarching fair-value P/E for the Japanese SPE sector companies under our coverage is 20–21x, which references the Russell/Nomura Large Cap Index (ex financials) average P/E of roughly 15x on 29/3 forecasts as a benchmark, along with a relative P/E of 1.3–1.4x, representing the maximum relative P/E at which sector shares traded during the recovery phase of the previous SPE cycle. We forecast an operating profit CAGR for Tokyo Electron of just under 12% for the two fiscal years from the 29/3 baseline, slightly above the sector average of around 11.5%, and we base our fair-value P/E on this.

Risks that may impede the achievement of the target price Industrywide factors that could cause the share price to fail to

achieve our target price include: (1) a delayed earnings recovery due to a longer-than-expected downward phase for the SPE market as a result of prolonged inventory corrections at customers; (2) weaker growth for the SPE market due to downward revisions to capex budgets at customers; and (3) weaker growth for the SPE market due to fresh restrictions on exports crimping SPE investment in China. Other risks include regulations and moves to create a home-grown semiconductor industry in China, and the impact of data leaks involving a former employee.

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Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some

of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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